approach to political economy was jettisoned in favour of restrictions on land transfer' and 'customary tribal law was privileged over both western and religious law . . .'.[2] Punjab ended up following a different trajectory to other regions[3] with respect to agrarian relations. This is how, as Talbot observes, 'tradition and transformation served the purposes of the colonial state by justifying the exercise of British power'.[4] All, however, was not as well as it seemed and problems festered underneath the beguiling calm of Punjab's seeming success story.

It was no mean success story. By the 1860s, Punjab's agricultural prices on produce had risen dramatically. Political instability had ended. A canal system of agriculture, based on an improved communications network, had been set up to foster a new prosperity. New cash crops had also been introduced, such as wheat, sugarcane, cotton and even tobacco. By the 1920s, a third of British India's total wheat crop and a tenth of its cotton crop was being produced in Punjab. The problem was that this prosperity was accompanied by increased rural debt. Easy credit meant that farmers borrowed money with abandon. Untrammelled consumption was the order of the day. Lavish sums were expended on weddings. Urban moneylenders used the British legal system to foreclose debts of mortgaged land. This threatened a revolution in landholding. In the backward regions of Punjab, such as Dera Ghazi Khan, moneylenders began appropriating land at a colossal rate. It was to curb this alarming development that the Land Alienation Act 1900 was passed. This prevented the urban commercial castes from permanently acquiring land held by the 'statutory agriculturalist' tribes. In the words of Ian Talbot, '[t]his Magna Carta of the Punjab's peasantry structured political developments in the province for the remainder of the Colonial era.'[5] This meant that the agriculturalists remained loyal to the British. They abjured communalism in their common interest, which was the defence of their rights and privileges against the Hindu moneylenders in the city. The Congress Party failed to get a strong foothold in Punjab (where the Punjab Unionist Party reigned supreme) against the British because it favoured the urban Hindu moneylenders and was consequently weaker in Punjab than in any other state.